# EXECUTIVE SUMMARY

## A. Introduction

### Agency Profile

The Municipality of Gattaran was founded on May 20, 1963 during the Spanish Expedition to the Philippines, through the leadership of Juan De Salcedo. It was discovered as a tribal community, together with the Municipality of Buguey. And in 1877, by virtue of the Diocesan Order from the Bishop of Nueva Segovia, it was declared as the seat of civil government covering Dummun and Nassiping as the attached community, by the recommendation of Fray Francisco Suejos, O.P.

The Municipality is located at the center of the Province of Cagayan. It is approximately 66 kilometers from Tuguegarao City and 40 kilometers from Aparri. The mountain ranges on the east are a portion of the Sierra Madre Mountain and are bounded on the north by the Municipality of Lallo, west by the Municipality of Lasam and in the south by the Municipalities of Baggao and Alcala. It has 50 barangays and is classified as a 1st class municipality, with a land area of 70,750 hectares.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extend the powers of Local Government Units to include not only the ability to create other sources of funds but also give them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the national government's thrust for sustainable social and economic development.

### Scope of Audit

The audit covered the accounts and operations of the Municipality of Gattaran, Cagayan for CY 2018 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and regulations have been complied with. Financial and compliance audits were conducted to achieve these audit objectives.

## B. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Gattaran, Cagayan for the year ended December 31, 2018, with comparative figures for CY 2017, are as follows:

| Particulars | 2018 | 2017 | Increase (Decrease) |
|---|---|---|---|
| **Financial Condition** | | | |
| Total Assets | P460,894,964.90 | P369,993,293.17 | P90,901,671.73 |

| | | | |
|---|---|---|---|
| Total Liabilities | 45,602,824.11 | 55,844,937.58 | (10,242,113.47) |
| Total Government Equity | 415,292,140.79 | 314,148,355.59 | 101,143,785.20 |
| **Results of Operations** | | | |
| Total Income (Includes Total Operating Income and Subsidy from Other Funds) | 278,291,245.48 | 231,382,293,32 | 46,908,952.16 |
| Total Expenses (Includes Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations | P219,754,347.15 | P176,410,590.46 | P43,343,856.69 |
| **b) Appropriations, Allotments and Obligations:** | | | |
| Appropriations-Current | P283,061,293.63 | P227,241,971.40 | P55,819,322.23 |
| Appropriations-Continuing | 37,683,643.46 | 38,306,755.38 | (623,111.92) |
| Allotments – Current | 283,061,293.63 | 227,241,971.40 | P55,819,322.23 |
| Allotments –Continuing | 37,683,643.46 | 38,306,755.38 | (623,111.92) |
| Obligations – Current | 226,192,415.45 | 202,930,725.58 | 23,261,689.87 |
| Obligations -Continuing | 12,158,940.03 | 15,389,526.60 | (3,230,586.57) |
| **Funds Received from Other Agencies** | | | |
| NGAs | P 8,043,583.98 | P 19,591,113.06 | P (11,547,529.08) |
| LGUs | 4,861,922.90 | 3,747,677.39 | 1,114,245.51 |
| NGO/POs | - | - | - |
| Others | 7,384,654.70 | 12,254,116.41 | (4,869,461.71) |
| **Total** | P 20,290,161.58 | P 35,592,906.86 | P(15,302,745.28) |
| **Funds Transferred to Other Agencies** | | | |
| NGAs | P - | P - | P - |
| LGUs | - | - | - |
| NGO/POs | - | - | - |
| Others | - | - | - |
| **Total** | P - | P - | P - |

## C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Gattaran for the year-ended December 31, 2018 due to the following:

1. The reliability and existence of Property, Plant and Equipment (PPE) account, with a carrying amount of P268,170,253.79, could not be ascertained due to the non-conduct of physical count of some PPE accounts, incomplete details on the Report on the Physical Count of Property, Plant and Equipment (RPCPPE) and non-maintenance of PPE Ledger Cards and Property Cards by the Accounting Office and General Service Office, respectively, which are not in consonance with the provisions of the Manual on New Government Accounting System (NGAS) for Local Government Units (LGUs) Volume 1. Moreover, the

balance of the said PPE account in the Statement of Financial Position is unreconciled with that of the PPE Lapsing Schedule by P7,505,562.65, which is inconsistent with paragraph 27 of International Public Sector Accounting Standards (IPSAS) 1 thus, affecting the fair presentation of the account in the statement of financial position.

2. The balance of Cash in Bank-Local Currency account totaling P158,254,549.32 could not be relied upon due to the following: (a) undeposited collections totaling P2,833,952.72 were treated as Deposits in Transit (DIT) in the Bank Reconciliation Statements; (b) the total amount of P66,290.59 was treated as a DIT for a long time; (c) outstanding check amounting to P120,000.00 was added back to the Cash in Bank-Local Currency account; (d) Cash in Bank-Time Deposit amounting to P80,406.60 was not supported by documents that would identify its bank details and existence; and (e) unreconciled balance amounting to P16,420.23 between the Cash in Bank-Local Currency-Trust Fund account per bank and per books, thus affecting the fair presentation of the account in the financial statements.

**D. Summary of Significant Observations and Recommendations:**

The following are the Audit Team's significant audit observation and recommendations, which were discussed with the concerned Management officials in an exit conference conducted on April 16, 2019:

1. The existence, reliability and accuracy of Local Road Networks, with a carrying amount of P37,840,530.39, could not be ascertained due to the following; (a) the non-conduct of physical count of its Local Road Networks; (b) the components of each local road, including its cost and description were not properly identified, segregated and recognized; and (c) reports required under Commission on Audit (COA) Circular 2015-008 to support the Local Road Networks were not prepared, kept and maintained. Thus, not in consonance with the provisions of COA Circular 2015-008.

   We recommended that the Local Chief Executive enjoin the responsible officials to comply with the accounting and reporting requirements of COA Circular 2015-008 for the fair presentation of the Local Road Network account in the financial statements.

2. Cash advances totaling to P1,029,369.75 were not liquidated at year-end or immediately as soon as the purpose for which it was granted has been served, which is not in compliance with Section 89 of Presidential Decree (PD) No. 1445 and Item 5.8 of COA Circular No. 97-002. Thereby, affecting the reliability of the asset, expense and government equity accounts. Moreover, cash advances were granted to accountable officers, who are not properly bonded and to some elective officials, other than for their official travelling

expenses, which is not conformity with Items 4.1.4 and 7.1 of COA Circular 97-002.

We recommended to the Management the following: (a) Require the Municipal Accountant to strictly monitor the proper granting, utilization and liquidation of cash advances through compliance with the regulations as provided in COA Circular 97-002 and PD 1445 and issue demand letters to those with outstanding cash advances and require its immediate liquidation, (b) Limit the cash advances granted to elective official for the purpose of their travelling expenses only, in compliance with Item 4.1.4 of COA Circular 97-002 (c) Ensure that cash advances, other than for official travel, are being granted only to the accountable officers who are properly bonded.

3. The balance of the Other Prepayments and Inter-Agency Payables in the total amount of P1,330,032.23 and P5,689,298.71, respectively, could not be ascertained due to the non-submission of its ledgers to support the balances presented in the Financial Statements.

   We recommended that the Municipal Accountant henceforth maintain and submit the ledgers of the Other Prepayments and Inter-Agency Payable accounts to support their balances in the Financial Statements. Likewise, we recommended that the Management exert extra effort to determine the existence of the Other Prepayments account and thereafter, make the necessary adjusting entries, as the case maybe, to reflect the correct balances of the affected accounts in the Financial Statements.

4. The existence of negative/abnormal balances in the subsidiary ledgers of some asset and liability accounts affects the reliability of the ending balances of the related accounts, which is not consonance with Section 27 of the Philippine Public Sector Accounting Standards (PPSAS) 1 thus, affecting the fair presentation of the accounts in the financial statements.

   We recommended that the Municipal Accountant carefully analyze the entries made on the accounts affected to correct the existence of negative/abnormal balances and prepare the necessary adjusting entries, as needed.

5. The Local Disaster Risk Reduction Management Fund Investment Plan (LDRRMFIP) that shall incorporate the use of the unexpended balance of the previous LDRRMF charged to the Special Trust Fund was not prepared and the monthly utilization reports of Local Disaster Risk Reduction and Management Fund (LDRRMF) for CY 2018 were not prepared in detail as prescribed in COA Circular No. 2012-002. Thus, the propriety of charges and the disaster risk reduction and management activities supporting the said funds could not be easily ascertained.

We recommended the following to the Management: (a) To require to the MDRRMC to prepare the LDRRMFIP by adopting the prescribed format in the Annex A of the COA Circular 2012-00 and to review and update annually the LDRRMFIP to include activities to be funded from the unexpended QRF and DRRMF-MOOE of the previous years, which were transferred to the Special Trust Fund; (b) To require the Municipal Accountant to prepare and certify as correct the monthly report on Sources and Utilization of DRRMF using the prescribed format in Annex B of this Circular; and (c) To require the MDRRO to submit to the Auditor the report on or before 15th day after the end of each month through the LDRRMC and Local Development Council (LDC).

6. Separate Financial Statements were not prepared by the Municipal Accountant for the Economic Enterprise of the LGU for the purpose of determining the sufficiency of income over its operating cost, as well as providing information on the assets, liabilities and equity accounts, in compliance with Section 313, Article II of R.A. No. 7160 and Sections 105, 107, and 110 of NGAS Manual, Volume I.

   We recommended that the Municipal Accountant maintain a special account in the General Fund for the operation of the Economic Enterprise of the LGU, through the use of complete subsidiary ledger, where the receipts, transfers and expenditures shall be taken up properly. Moreover, at the end of the year, Trial Balance, Statement of Financial Position, Statement of Financial Performance, and Statement of Cash Flows shall be prepared to assist top management in making financial decisions over the operation of the Economic Enterprise.

7. Contracts for several bidded projects for CY 2018 were not submitted to the Office of the Auditor for auditorial review within five (5) working days from its perfection, which is not in consonance with Item 3.1.1 of COA Circular 2009-001.

   We recommended that the Management ensure submission of contracts within 5 days from the date of perfection to the Office of the Auditor for auditorial review in compliance with COA Circular No. 2009-001.

## E. Summary of total Suspensions, Disallowances and Charges

| Particulars | Beginning Balance | Issued During the Year | Settlement During the Year | Ending Balance | % of Settlement |
|---|---|---|---|---|---|
| **Suspensions** | | | | | |
| Prior Years | - | - | - | - | - |
| Current Year | - | - | - | - | - |
| **Total** | - | - | - | - | - |
| | | | | | |
| **Disallowances** | | | | | |
| Prior Years | P31,200.00 | - | - | P31,200.00 | - |
| Current Years | - | - | - | - | - |

| | | | | | |
|---|---|---|---|---|---|
| **Total** | **P31,200.00** | - | - | **P31,200.00** | - |
| **Charges** | | | | | - |
| Prior Years | - | - | - | - | - |
| Current Years | - | - | - | - | - |
| **Total** | - | - | - | - | - |

## F. Status of Implementation of Prior Years' Audit Recommendations

Out of the 20 audit recommendations in the 2017 Annual Audit Report, nine (9) were implemented, eight (8) were partially implemented and three (3) were not implemented and reiterated in Part II of this Report.